



[Weekly Market Commentary](#)

Dear clients,

The price action in both traditional and crypto markets have been choppy over the last two weeks, trading more in line with technicals than the busy macroeconomic calendar. The Federal Reserve meeting on September 17-18 represents the most important market event for the upcoming week, as the market debates whether the central bank will cut 25bps or 50bps. Our view is that the Fed is behind the curve and that it *needs* to cut rates at this upcoming meeting – but not so far behind that the economy is headed for recession. We remain constructive on crypto markets in 4Q24, although US elections represent an important variable that could still affect our outlook.

Meanwhile, US spot bitcoin and ether ETFs continued to have net outflows despite a brief reprieve early in the week. Since the start of September, \$604M and \$85M have exited BTC and ETH ETFs, respectively, which we think is partially explained by a narrowing of the CME basis trade opportunity. The CME bitcoin basis fell to eight month lows in early September, and the only two days of positive bitcoin ETF inflows so far this month occurred on September 9 and 10 – following an increase in the CME basis from 6% to 9%.

Finally, we recently published our September Monthly Outlook ([“What’s Eating Ethereum?”](#)) focusing on Ethereum’s relative underperformance to its crypto peers. Many have attributed the move to a decline in Ethereum’s revenues following the Dencun Fork in mid-March. But while Ethereum’s network activity and supply inflation are important factors to consider, we also think the price action has been driven by the current market structure.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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